Crumb & Co: Error Log

Capstone 27 deliverable. Records every hallucinated, outdated, unrealistic or inconsistent claim found in the AI's first draft. Checked 24 October 2026.

How to read this log

- **Severity:** High means it changes the money, the legal position or the decision. Medium means it distorts a figure or leaves a gap. Low means a small slip.
- **Status:** Applied means the fix is in the revenue model or the plan. Pending means it needs your own data, quotes or advice.
- Evidence and sources for each entry are in the second table. The full reasoning is in the Verification Report.

Summary

Measure	Count
Total entries	14
High severity	6
Medium severity	6
Low severity	2
Applied	4
Pending	10

Hallucination check: no clearly fabricated source or statistic was found in the AI's draft. The closest cases are E1 (an outdated rule stated confidently) and E5 (costs that appear to have been set to hit a target). Most errors were unrealistic or unsupported assumptions, not invented facts.

Error log

ID	Where	What the AI said	What is wrong	Type	Severity	Fix	Status
E1	Chat advice from Claude (Step 3)	Your turnover was close to the ₹12 lakh FSSAI registration limit	The limit became ₹1.5 crore on 1 April 2026	Outdated information (AI error)	High	Use ₹1.5 crore	Applied
E2	Startup costs	Licensing and packaging ₹20,000	Registration fee is about ₹100 a year, so the line is mostly unitemised packaging	Unrealistic	High	Itemise licence and packaging with quotes	Pending
E3	Fixed costs	FSSAI, insurance and miscellaneous ₹300 a month	Licence is ₹100 a year. The rest is unexplained	Unrealistic	Low	Name the items or remove the line	Pending
E4	Pricing	½ kg eggless cake ₹750, 1 kg ₹1,400, brownie box ₹480	Chennai listings show ₹530 to ₹549, ₹930 to ₹999 and ₹375	Possibly overpriced	High	Compare 8 to 10 Chennai home bakers	Pending
E5	Per-product economics	All five products at 37 to 39% cost, "inside the target range"	The wording shows a target was used, so costs were not built from recipes	Back-solved numbers	High	Cost each product from your own recipe	Pending
E6	Packaging	₹60, ₹90, ₹35, ₹30 and ₹80 a unit	Priced parts add up to far less (₹9 to ₹52). Extras are not itemised	Unitemised	Medium	List every packaging item	Pending
E7	Fixed costs	Extra electricity and gas ₹2,500 a month	One commercial cylinder costs about ₹2,984. An electric oven costs about ₹900 to ₹1,500	Likely too low if using gas	High	Run a test week with meter readings	Pending

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E8	Financial outline, section 5	"The ₹15,000 marketing budget is paid from startup funds"	The excluded amount is ₹1,500 a month (₹5,800 minus ₹4,300)	Wording error	Medium	Correct the sentence	Pending
E9	Financial outline, sections 5 and 6	Projection uses ₹4,300 of fixed costs, break-even uses ₹5,800	Two different cost bases in one plan	Internal inconsistency	Medium	Use ₹5,800 in both	Applied
E10	Financial outline, section 5	Wastage ₹4,100 (month 3) and ₹6,400 (month 6)	8% of revenue gives ₹4,160 and ₹6,456	Rounding slip	Low	Use the exact figures	Applied
E11	Basis of the model	GST excluded	Cakes are taxed at 5%. Your turnover is below the thresholds, but the rule for e-commerce sellers is unclear	Partly unverified	Medium	Ask an accountant	Pending
E12	Basis of the model	Delivery paid by the customer, UPI free	UPI stays free at your prices and volumes. Delivery costs about ₹50 for 5 km if you pay	Assumption, now partly verified	Medium	Keep both, with a note on the UPI conditions	Applied
E13	Financial outline, section 4	30 orders a week, ramp from 9 to 28	Cannot be verified from the web. Depends on demand and your capacity	Unverified assumption	High	Four-week order log and a capacity test	Pending
E14	Basis of the model	Wastage and discounts 8% of revenue	Two different effects are bundled in one figure	Bundled assumption	Medium	Log wastage and discounts separately for a month	Pending

Evidence and sources

ID	Evidence	Source
E1	FSSAI order raised the Basic Registration limit to ₹1.5 crore from 1 April 2026	FSSAI order and press release, 13 March 2026
E2	Registration fee of ₹100 a year	FSSAI eligibility document (2020), fee guides from 2026. Confirm on FoSCoS
E3	Same as E2	Same as E2
E4	Cake Works, Porur: ₹530 (½ kg), ₹930 and ₹940 (1 kg). Bakingo, Vanagaram: ₹549 (500 g), ₹999 (1 kg). The Brownie Studio: ₹375 (box of 6)	Swiggy menus, undated. One to two bakeries per product
E5	The outline's own wording. Illustrative ½ kg cake costing: about ₹157 for priced items against ₹230, so the level may be fine but the uniform ratios are not	Financial Outline, Real Price Tracker
E6	Cake boxes ₹5 to ₹25, boards ₹3.50 to ₹7.50, bags ₹5 to ₹20, ribbon about ₹5 a metre	IndiaMART listings, undated
E7	Commercial 19 kg cylinder about ₹2,984 from 1 October 2026. Domestic cylinders are for household use only	DT Next, GoodReturns, Nagaland government notice
E8	₹5,800 minus ₹4,300 equals ₹1,500	Arithmetic from the outline
E9	Section 5 uses ₹4,300, section 6 uses ₹5,800	Financial Outline
E10	8% of ₹52,000 is ₹4,160. 8% of ₹80,700 is ₹6,456	Arithmetic from the outline
E11	GST on cakes and pastries 5% from 22 September 2025. Thresholds ₹40 lakh (goods) and ₹20 lakh (services), with conditions	ClearTax, Tally Solutions, Sleek Bill
E12	0.4% UPI charge applies above ₹2,000 from 15 October 2026. Free up to ₹2,000 and for small merchants up to ₹1 lakh a month. Bike delivery from ₹10 a km	Khaleej Times, Inc42, Shiprocket Quick, Porter
E13	None available	Needs your own order log

ID	Evidence	Source
E14	The outline combines both effects in one percentage	Financial Outline

Entries by type

Type of problem	Count	Entries
Unverified or untested assumptions	4	E11, E12, E13, E14
Budget lines that look wrong or unitemised	4	E2, E3, E6, E7
Internal consistency and wording	3	E8, E9, E10
Pricing and cost realism	2	E4, E5
Outdated information	1	E1

Add new entries here

Use the same columns. Give each new entry the next ID (E15, E16 and so on).

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